



ADVANCED COLLEGE ACCOUNTING (115)

—Post-secondary—

NATIONAL – 2019

Multiple Choice:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Problems:

Problem 1: Bonds _____ (57 points)

Problem 2: Journal Entries _____ (40 points)

Problem 3: Financial Statements _____ (60 points)

TOTAL POINTS _____ ***(187 points)***

**Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.



General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short-answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

GAAP

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

Multiple Choice:

1. C
2. D
3. C
4. B
5. A
6. B
7. D
8. A
9. C
10. B
11. B
12. B
13. D
14. C
15. D



Problem 1: Bonds (57 Points)

Use the following information to prepare the appropriate journal entries.

Chaney Corporation issues 10 year, 6% semi-annual bonds with a face value of \$300,000 on January 1, 2019, when the market interest rate is 7%. Calculate the sales price and prepare the following journal entries with the appropriate dates. Round all calculations to the nearest dollar.

- Issuance of bonds
- First interest payment using the effective interest rate method
 - Present value factors $n=20$ $i=3.5$:
 - Present value of \$1 .50257
 - Present value of an annuity 14.21240
- Retirement of bonds at maturity

GRADER: Account titles may vary but must be representative of content. Award 3 points for each correct date, account title, and amount.

General Journal				
Date		Account Title	Debit	Credit
Jan 1	2019	Cash	278,683	
		Discount on Bonds Payable	21,317	
		Bonds Payable		300,000
July 1	2019	Interest Expense	9,754	
		Cash		9,000
		Discount on Bonds Payable		754
Jan 1	2029	Bonds Payable	300,000	
		Cash		300,000



Problem 2 Record the following selected transactions in general journal form for the McCann Dewonder Corporation. A journal is provided on the next two pages; if no entry is required write “No Entry”. Round all calculations to the nearest whole number.

Grader – Each line (row) in the journal is worth 2 points for a total of 40 points. The account = 1 point, amount or debit/credit = 1 point.

- Jan. 25 Negotiated with the bank for a \$2,000,000 line of credit at 8% interest.
- Feb. 15 The engineering department notified management that due to a defective part in our product we will need to recall 100,000 units sold last year. The investigation indicates the recall is estimated to cost the company \$895,000.
- Mar. 30 Borrowed \$800,000 from the established line of credit for 60 days.
- Apr. 15 Estimated taxes of \$95,000 is paid to the government.
- May 30 Repaid the amount borrowed plus interest from the line of credit. Round to the nearest dollar.
- Jul. 15 Record the following payroll information to be paid on July 25, assume no employees have exceeded any wage limits:

Salaries	\$290,000
Federal income tax	58,000
Social Security	6.2%
Medicare	1.45%

- Sep. 22 The board of directors announced a common stock split of 5 to 1. After the split, there are 130,000 shares issued and outstanding with a par value of \$2.00 per share.
- Nov. 28 Declared a cash dividend of \$0.20 per share on common stock to be paid on Dec. 15.
- Dec. 15 Paid the cash dividends.
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General Journal

Page 933

Date	Description	Post Ref	Debit	Credit
Jan. 25	No Entry (worth 2 points)			
Feb. 15	Loss on Recall		895,000	
	Recall Liability			895,000
Mar. 30	Cash		800,000	
	Notes Payable			800,000
Apr. 15	Prepaid Taxes		95,000	
	Cash			95,000
May 30	Notes Payable		800,000	
	Interest Expense		10,667	
	Cash			810,667
Jul. 15	Salaries Expense		290,000	
	Federal Income Tax Payable			58,000
	Social Security Tax Payable			17,980
	Medicare Tax Payable			4,205
	Salaries Payable			209,815
Sep. 22	No Entry (worth 2 points)			
Nov. 28	Cash Dividends (or Retained Earnings)		26,000	
	Cash Dividends Payable			26,000
Dec. 15	Cash Dividends Payable		26,000	
	Cash			26,000



Problem 3: Financial Statements (60 points)

Use the following information excerpted from DDevers December 31, 2018 Adjusted Trial Balance to answer questions 1-15

Accounts Payable	\$73,000
Accounts Receivable	114,000
Accumulated Depreciation	7,000
Administrative Expenses	118,000
Bonds Payable	53,000
Buildings	300,000
Cash	29,000
Common Stock	186,000
Cost of Goods Sold	513,000
Discount on Bonds Payable	3,000
Income Tax Expense	33,000
Merchandise Inventory	113,000
Notes Payable (due in 20 months)	18,000
Prepaid Expenses	13,000
Retained Earnings, January 1, 2014	122,000
Sales	910,000
Sales Returns	28,000
Selling Expenses	126,000
Supplies	6,000
Unearned Revenue	27,000

Grader – Each answer is worth 4 points.

1. What is Net Sales?

Net Sales \$882,000

2. What is Gross Profit?

Gross Profit \$369,000

3. What is total Operating Expenses?

Operating Expenses \$244,000

4. What is Income Before Taxes?

Income Before Taxes \$125,000



5. What is Net Income?

Net Income \$92,000

6. What is total Current Assets

Current Assets \$275,000

7. What is total Assets

Total Assets \$568,000

8. What is total Current Liabilities?

Current Liabilities \$100,000

9. What is total Long-Term Liabilities?

Long-Term Liabilities \$68,000

10. What is total Stockholders' Equity

Stockholders' Equity \$400,000

11. What is Working Capital?

Working Capital \$175,000

12. What is the Current Ratio?

Current Ratio 2.75

13. What is the Gross Profit (Gross Margin) Percentage?

Gross Profit Percentage 41.84%

14. What is the Debt Ratio?

Debt Ratio 29.58%

15. What is the Debt-to-Equity Ratio?

Debt-to-Equity Ratio 42%